Beneath the US-China truce, AI and commercial pressures are mounting

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Practice Letter

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This is the latest in a series of periodic letters to clients in which Eurasia Group's practices present their views on forthcoming political and macro developments for their regions or sectors.

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Dear Clients,

The dominant narrative about US-China relations over the past year has been one of surprising improvement. The trade and supply chain truce struck in Busan in October 2025 and reinforced at the Trump-Xi summit in Beijing has yielded what China calls “constructive strategic stability.” The two countries are now working to advance new boards of trade and investment and to schedule an AI safety dialogue. President Xi Jinping is expected to visit Washington in September.

We have reflected that greater stability in our published calls, and we have seen consistent signs that both sides intend to stay on that path. Today, however, we are marginally revising our call downward.

We are raising the odds for a breakdown this year from 20% to 30%, at the expense of our productive implementation (basecase) and upside scenarios. As a result, the combined probability that some form of stability will hold through 2026 falls from 80% to 70%.

Three mounting pressures drive this revision:

AI is emerging as the key fault line

AI technology is advancing faster than either side expected, and it is creating pressure for escalation in Washington that President Donald Trump might not otherwise choose. Chinese AI capabilities have surprised even close observers. Moonshot AI’s Kimi K3 and Zhipu’s GLM-5.2 have achieved benchmark performance comparable to top US models at a fraction of the cost. The use of distillation, in which developers use outputs from proprietary US models to train Chinese rivals, has become a White House-level concern.

The administration is considering a range of responses. An intellectual property theft investigation or government procurement and use bans would probably provoke only a limited Chinese response. Less likely but more consequential would be broader US use restrictions, export controls, or entity listings.

These could trigger strong countermeasures from Beijing, threatening the current level of diplomatic engagement or even the trade and supply chain truce reached in Busan. Some in Silicon Valley have strongly opposed tougher measures, and the debate continues. At the same time, Beijing has been in talks with Alibaba, ByteDance, and Z.ai about restricting foreign access to their own models.

The administration is unlikely to act before Xi's September visit. Looking ahead through 2026, however, AI is the issue most likely to push the bilateral relationship off its current footing.

Commercial restrictions are spreading across sectors

Even as top-line stability holds, the bilateral list of restricted actors, sectors, and products continues to grow.

The Federal Communications Commission (FCC) has become an active channel for new US restrictions, having already targeted Chinese drones, routers, and robots. Reports now suggest that the next step will be a ban on Chinese optical transceivers used in data centers. The Department of Homeland Security (DHS) recently expanded entity listings under the Uighur Forced Labor Protection Act. Beijing responded to FCC and DHS actions on 5 August with what it described as “restraint,” adding to its own entity listings and introducing drone-related export controls.

The Pentagon's 1260H list revision, delayed until after the May summit, added 65 entities, including major commercial firms such as Alibaba, BYD, and Baidu. In response, China’s Ministry of Finance barred 46 US companies from government procurement, while the Ministry of Commerce added ten US defense and rare earth firms to the Export Control Entity List.

In May, China’s Ministry of Commerce issued its first-ever formal blocking order, directing domestic entities not to comply with US sanctions on five Chinese oil refineries accused of purchasing Iranian crude. Although the measure has existed since 2021, authorities had never used it.

Both governments are strengthening their capacity to act

Parallel to the accumulating actions, a less visible but more durable shift is underway. Both governments are building substantially greater institutional capacity to act, and that capacity will outlast the current period of restraint.

On the Chinese side, three new State Council decrees codify a more assertive posture. Decree 834 sets a framework for responding to foreign de-risking, discriminatory sourcing decisions, or sanctions compliance actions that affect Chinese firms. Decree 835 creates a mechanism to identify, block, and counter foreign extraterritorial measures that Beijing deems unlawful. Beijing first used that mechanism in May against the EU’s probe into Nuctech. Decree 837 governs Chinese outbound investment across approval, reporting, and security review. It also creates a mechanism for Beijing to impose countermeasures on foreign governments or companies that discriminate against Chinese investments.

Beyond the legal architecture, our analysis suggests that Chinese exporters now hold at least 50% of the global market in more than 300 categories of intermediate goods. These inputs sit deep in global supply chains and are far harder to replace than consumer goods. If current trends continue, that number will exceed 400 categories by 2030 (see: China's chokepoint leverage goes beyond critical minerals , 30 June 2026).

On the US side, in addition to the FCC’s more visible role, noted above, is only part of the picture. Congress is also expanding its authority. The fiscal year 2027 National Defense Authorization Act, now under negotiation, could codify new export controls on AI chips.

These three pressures lay the groundwork for a tougher 2027–2029

What has changed is that these pressures are accelerating at the same time in a compressed period. Of the three, AI and the FCC's expanding role are the most significant shifts, while the others represent the maturation of trends already underway.

These issues are contributing to a more negative long-term outlook. The tools and authorities that both sides are now building will create a more challenging environment for the next US president. Beijing believes that the successor will take a more hawkish approach to China regardless of party, and it is therefore using the current calm not to preserve the current stability framework but to strengthen its position before the transition. The path runs through the 2027 Party Congress, the 2028 Taiwan and US elections, and the likely testing of a new US president in 2029. A relationship with more restricted actors, broader institutional authority for retaliation, and unresolved AI competition will become more fragile as each new stress emerges.

What clients should watch

The primary near-term watch item is the possibility that the US imposes restrictions on Chinese AI companies or tightens export controls—the risk that most directly drives our revised call. The dispute over distillation, the range of US responses under consideration, and Beijing's potential reciprocal measures targeting models make the next few months more uncertain. The September Trump-Xi summit is the key near-term stabilizer, along with the anticipated AI safety dialogue that Beijing in particular wants to move forward. Watch whether those talks produce a framework strong enough to contain tensions.

Supply chain and investment measures on both sides create slower-moving risks, but the growing number of new actors, sectors, and legal authorities will outlast any single diplomatic opening. The Busan truce expires in the fall and merits close monitoring. It will likely be renewed, but the expiration is still an important inflection point.

China-EU tensions and China-Japan friction over rare earths also warrant attention. Neither is likely to derail US-China stability directly, but both will test how aggressively Beijing is willing to use the retaliatory tools it has been building. That question is especially important as China and the EU work toward their October deadline for resolving trade disputes tied to overcapacity concerns. The answer will shape US-China risk calibration for 2026 and beyond.

David Meale
Practice Head, China
2025405135
Meale@eurasiagroup.net
Amanda Hsiao
Director, China
Hsiao@eurasiagroup.net
Gerard DiPippo
Director, Global Macro
dipippo@eurasiagroup.net

Clayton Allen
Practice Head, United States
allen@eurasiagroup.net
Xiaomeng Lu
Director, Geo-technology
+1 202.316.7259
lu@eurasiagroup.net
EG China
china@eurasiagroup.net

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